APPRAISAL REPORT

Ridgeline Manor | Dallas, TX

Subject Property	Ridgeline Manor
Address	7944 Airport Drive, Dallas, TX 64569
Property Rights Appraised	Fee Simple
Effective Date of Value	October 9, 2023
Market Value Conclusion	$10,240,000

Demographics and Employment

The Dallas Senior Housing market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community provides assisted living and memory care services under a state-issued license with 8 full-time caregivers per shift. Median household income within a 5-mile radius of the property is approximately $422,000 and has grown 7.1% annually. Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 5.73% and 5.73%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

Median household income within a 1-mile radius of the property is approximately $128,000 and has grown 10.5% annually. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Ridgeline Manor is located in Dallas, TX, a market that has recorded 4.2% population growth over the last five years. Rent growth in the submarket has averaged 3.6% annually over the past 9 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 6.23% and 6.23%.

Site Description

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 40 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 41.41 acres and is generally level with frontage along Airport Drive. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 23.23 acres and is generally level with frontage along Airport Drive.

Demographics and Employment

Ridgeline Manor is located in Dallas, TX, a market that has recorded 12.3% population growth over the last five years. The community provides assisted living and memory care services under a state-issued license with 35 full-time caregivers per shift. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Market vacancy for comparable Senior Housing product stands at 12.4%, down from 7.9% two years ago.

The community provides assisted living and memory care services under a state-issued license with 42 full-time caregivers per shift. Employment growth is led by healthcare, logistics, education and professional services sectors. Occupancy stands at 89.6% with an average resident length of stay of 4 years. Dining, housekeeping, transportation and activities programming are included in the base fee. The Dallas Senior Housing market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Access and Utilities

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Demographics and Employment

Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 7.81% and 7.81%. The community provides assisted living and memory care services under a state-issued license with 45 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Rent growth in the submarket has averaged 3.7% annually over the past 3 years. The Dallas Senior Housing market has experienced absorption of 4600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 8.10% and 8.10%. Median household income within a 1-mile radius of the property is approximately $16,000 and has grown 7.6% annually. Ridgeline Manor is located in Dallas, TX, a market that has recorded 11.9% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Access and Utilities

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 8 curb cuts and the property is served by municipal water and sanitary sewer.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 31.31 acres and is generally level with frontage along Airport Drive.

Supply and Demand

Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 7.27% and 7.27%. The community provides assisted living and memory care services under a state-issued license with 45 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. The Dallas Senior Housing market has experienced absorption of 3900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Median household income within a 3-mile radius of the property is approximately $233,000 and has grown 4.9% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 7.22% and 7.22%. Rent growth in the submarket has averaged 5.7% annually over the past 9 years. Dining, housekeeping, transportation and activities programming are included in the base fee.

Topography and Flood Zone

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 32 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 36.36 acres and is generally level with frontage along Airport Drive.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Access to the site is provided by 15 curb cuts and the property is served by municipal water and sanitary sewer. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Supply and Demand

Occupancy stands at 91.3% with an average resident length of stay of 9 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Market vacancy for comparable Senior Housing product stands at 11.6%, down from 7.7% two years ago. The community provides assisted living and memory care services under a state-issued license with 48 full-time caregivers per shift. Employment growth is led by healthcare, logistics, education and professional services sectors.

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Improvements Description

Occupancy stands at 94.0% with an average resident length of stay of 11 years. The roof is a 18-year membrane system with an estimated remaining useful life of 5 years. Common area interiors have been refreshed within the last 7 years and are in average to good condition. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Dining, housekeeping, transportation and activities programming are included in the base fee. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 23 stories.

Construction Details

The community provides assisted living and memory care services under a state-issued license with 32 full-time caregivers per shift. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 7 stories. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Common area interiors have been refreshed within the last 11 years and are in average to good condition. Mechanical systems include rooftop package units and central plant equipment of varying age.

Mechanical systems include rooftop package units and central plant equipment of varying age. The roof is a 2-year membrane system with an estimated remaining useful life of 4 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The community provides assisted living and memory care services under a state-issued license with 22 full-time caregivers per shift. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 30 stories.

Improvements Description

Occupancy stands at 93.3% with an average resident length of stay of 9 years. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 29 stories. The roof is a 33-year membrane system with an estimated remaining useful life of 4 years. Mechanical systems include rooftop package units and central plant equipment of varying age.

The community provides assisted living and memory care services under a state-issued license with 44 full-time caregivers per shift. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Windmill Manor	Philadelphia, PA	01/10/2024	92	$9,352,409	$146,131	7.88%	2005
Harbor Assisted Living	Sacramento, CA	07/16/2022	77	$14,064,394	$219,756	6.22%	1996
Redwood Assisted Living	Greenville, SC	06/09/2022	34	$4,630,199	$72,347	6.12%	2020
Bayview Senior Living	Grand Rapids, MI	11/23/2024	63	$5,493,682	$85,839	7.47%	1971
Copper Gardens	Des Moines, IA	07/03/2023	45	$7,446,559	$116,352	5.30%	2004
Gatewood Gardens	Cleveland, OH	07/13/2025	41	$5,005,566	$78,212	6.90%	1998
Quarry Gardens	Columbus, OH	11/26/2022	69	$13,548,042	$211,688	8.01%	2006
Dunmore Assisted Living	Savannah, GA	02/26/2025	39	$11,830,380	$184,850	7.61%	2010
Orchard Assisted Living	Philadelphia, PA	07/28/2022	63	$9,226,187	$144,159	5.18%	1980
Prairie Manor	Oklahoma City, OK	09/29/2023	65	$6,935,634	$108,369	6.31%	2023
Marlow Assisted Living	San Diego, CA	12/25/2024	56	$9,458,822	$147,794	7.47%	1977
Hawthorne Gardens	Kansas City, MO	03/27/2025	69	$7,943,131	$124,111	6.41%	2021
Meridian Gardens	Boise, ID	10/26/2022	82	$9,488,963	$148,265	6.23%	2023
Willow Gardens	San Diego, CA	12/07/2025	39	$8,876,075	$138,689	5.69%	1970
Newport Gardens	Naperville, IL	11/15/2023	47	$10,898,041	$170,282	5.45%	1996
Garnet Senior Living	Des Moines, IA	12/19/2022	79	$10,455,264	$163,363	7.06%	1998
Gatewood Manor	Albuquerque, NM	04/23/2026	86	$6,199,838	$96,872	7.73%	1965
Pelican Senior Living	Sacramento, CA	08/05/2023	90	$7,665,858	$119,779	7.86%	2003
Windmill Gardens	San Diego, CA	07/12/2022	63	$8,290,543	$129,540	6.22%	2020
Brookside Assisted Living	Austin, TX	10/05/2023	95	$6,447,652	$100,745	7.85%	1970
Timberline Gardens	Boston, MA	06/27/2026	46	$6,051,890	$94,561	7.07%	2001
Zephyr Gardens	Grand Rapids, MI	11/04/2022	82	$10,230,811	$159,856	6.13%	2015
Nautilus Assisted Living	San Diego, CA	08/28/2026	63	$7,991,720	$124,871	7.84%	1965
Hollis Gardens	Des Moines, IA	04/04/2026	58	$7,335,643	$114,619	6.84%	2004
Raven Manor	Omaha, NE	08/30/2024	83	$5,462,169	$85,346	7.36%	2023
Brookside Manor	San Antonio, TX	06/05/2022	44	$13,579,231	$212,175	7.97%	1981
Palisade Senior Living	Albuquerque, NM	09/04/2023	41	$7,232,594	$113,009	6.54%	2015
Cedar Assisted Living	Seattle, WA	08/22/2025	41	$14,289,060	$223,267	6.92%	2019
Falcon Manor	Austin, TX	02/06/2024	89	$4,683,578	$73,181	7.33%	1973
Everett Manor	Madison, WI	11/09/2025	55	$13,105,377	$204,772	6.78%	1995
Raven Senior Living	Tempe, AZ	02/01/2022	69	$4,383,174	$68,487	6.04%	2003
Granite Senior Living	Raleigh, NC	09/26/2024	53	$9,837,667	$153,714	7.47%	2017
Pelican Manor	Norfolk, VA	03/09/2025	44	$11,510,333	$179,849	5.70%	1968
Tidewater Assisted Living	Naperville, IL	03/27/2023	74	$7,975,136	$124,612	7.69%	2016
Brookside Gardens	Boise, ID	06/16/2023	87	$10,305,563	$161,024	5.63%	1997
Beacon Manor	Raleigh, NC	06/04/2025	94	$11,338,840	$177,169	7.88%	2017
Cobalt Senior Living	Birmingham, AL	08/25/2025	95	$12,470,597	$194,853	7.10%	1985
Wexford Senior Living	Boston, MA	05/02/2023	80	$9,988,264	$156,067	5.30%	1965
Union Gardens	Tampa, FL	05/11/2025	63	$11,124,710	$173,824	7.66%	2018
Parkview Senior Living	Dallas, TX	06/13/2025	48	$9,704,198	$151,628	6.20%	1969
Marlow Manor	Oklahoma City, OK	07/16/2024	64	$5,601,562	$87,524	7.44%	1972
Granite Manor	Riverside, CA	11/10/2024	50	$6,109,517	$95,461	5.52%	2002

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Operating Performance

Occupancy stands at 93.9% with an average resident length of stay of 7 years. The going-in capitalization rate of 5.54% reflects the in-place income and the stabilized occupancy assumption. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.64x on a trailing basis against a covenant minimum of 1.20x.

Financial Analysis

The going-in capitalization rate of 5.96% reflects the in-place income and the stabilized occupancy assumption. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period.

Debt service coverage ratio was 5.88x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. The community provides assisted living and memory care services under a state-issued license with 37 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. The going-in capitalization rate of 5.62% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $39,000 or approximately 20.81 per square foot, with real estate taxes representing the largest line item.

Income and Expense Review

Debt service coverage ratio was 6.33x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.12% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $363,000 or approximately 18.88 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $371,000, representing a 6.6% increase over the prior year. Occupancy stands at 89.8% with an average resident length of stay of 5 years.

Debt service coverage ratio was 6.48x on a trailing basis against a covenant minimum of 1.20x. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Effective gross income for the trailing period was $373,000, representing a 6.7% increase over the prior year. Occupancy stands at 92.1% with an average resident length of stay of 3 years. Operating expenses totaled $298,000 or approximately 33.54 per square foot, with real estate taxes representing the largest line item.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Oakmont Senior Living	1.9 mi	2016	Studio	$7,509.31	89.7%	None
Hollis Gardens	1.9 mi	1971	Unit	$7,536.52	94.5%	None
Nautilus Senior Living	0.4 mi	2009	Bay	$7,430.43	93.7%	$500
Ashford Manor	1.1 mi	2018	Bay	$7,014.32	91.9%	1 mo. free
Highland Assisted Living	3.4 mi	1998	Suite	$6,678.39	94.3%	None
Juniper Senior Living	4.6 mi	1973	Unit	$8,345.90	90.8%	None
Pinecrest Assisted Living	1.1 mi	2013	2BR	$8,493.80	90.7%	None
Lantern Gardens	3.1 mi	1982	Studio	$7,530.35	95.4%	1 mo. free
Onyx Senior Living	0.8 mi	1978	1BR	$7,715.42	91.6%	$500
Ironwood Senior Living	3.9 mi	2022	2BR	$7,475.96	92.0%	None
Willow Assisted Living	1.0 mi	1996	2BR	$8,061.44	86.7%	1 mo. free
Brookside Gardens	4.7 mi	1993	2BR	$6,399.80	95.9%	None
Pelican Assisted Living	0.3 mi	1975	1BR	$6,276.12	88.0%	$500
Vista Senior Living	2.8 mi	2012	Bay	$7,837.58	91.9%	$500
Cypress Senior Living	0.6 mi	2014	Bay	$8,422.15	95.9%	1 mo. free
Marlow Manor	0.7 mi	1977	Bay	$7,177.44	89.0%	$500
Willow Assisted Living	2.4 mi	1999	Studio	$6,402.75	97.4%	None
Cedar Assisted Living	2.2 mi	1994	Inline	$7,107.90	97.8%	None
Willow Assisted Living	2.6 mi	2018	2BR	$7,938.95	93.1%	1 mo. free
Laurel Gardens	2.4 mi	1981	2BR	$7,296.84	91.8%	None
Newport Senior Living	0.9 mi	2000	2BR	$7,560.44	89.0%	$500
Cedar Manor	0.3 mi	1998	Studio	$7,074.69	93.3%	$500
Zephyr Assisted Living	4.0 mi	2006	Unit	$7,753.27	95.5%	1 mo. free
Driftwood Gardens	1.0 mi	1989	1BR	$7,499.94	91.4%	$500
Nautilus Manor	2.5 mi	2016	Studio	$6,714.96	97.0%	None
Alder Gardens	3.9 mi	1995	Unit	$7,927.35	91.6%	None
Cedar Gardens	2.8 mi	2005	2BR	$7,015.68	93.3%	None
Ivy Manor	0.5 mi	2003	2BR	$6,610.29	92.9%	$500
Riverbend Senior Living	4.1 mi	2014	Unit	$7,681.27	90.6%	1 mo. free
Upland Assisted Living	3.1 mi	1992	2BR	$6,640.24	96.8%	None
Hawthorne Manor	2.9 mi	2009	Unit	$7,972.52	87.9%	$500
Prairie Assisted Living	0.8 mi	1986	Bay	$7,816.72	86.7%	None
Parkview Assisted Living	2.9 mi	1973	1BR	$7,138.19	96.7%	None
Driftwood Manor	5.0 mi	2014	Studio	$7,209.63	90.9%	None
Fairmont Senior Living	2.8 mi	1982	Suite	$6,710.90	92.0%	None
Maple Assisted Living	3.6 mi	2017	Bay	$8,341.31	91.8%	None
Cypress Assisted Living	2.6 mi	1997	Unit	$6,532.13	93.6%	1 mo. free
Harbor Senior Living	1.7 mi	1985	Unit	$6,669.03	97.7%	None
Yarrow Assisted Living	2.0 mi	1976	1BR	$7,942.60	87.8%	None
Calloway Gardens	3.7 mi	2000	2BR	$7,897.05	91.6%	1 mo. free
Nautilus Gardens	1.9 mi	2001	2BR	$7,139.11	92.7%	$500
Redwood Manor	3.1 mi	1992	1BR	$7,831.50	91.2%	1 mo. free
Windmill Gardens	3.6 mi	1991	Inline	$8,092.52	97.1%	$500

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Submarket Analysis

The Dallas Senior Housing market has experienced absorption of 4200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 5.8% annually over the past 10 years. Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 5.85% and 5.85%. Median household income within a 3-mile radius of the property is approximately $253,000 and has grown 3.1% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Market vacancy for comparable Senior Housing product stands at 12.9%, down from 4.1% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Occupancy stands at 89.4% with an average resident length of stay of 4 years. Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 5.57% and 5.57%.

Site Description

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Access to the site is provided by 39 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. The site contains approximately 35.35 acres and is generally level with frontage along Airport Drive. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 7.7 acres and is generally level with frontage along Airport Drive. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 23 curb cuts and the property is served by municipal water and sanitary sewer.

Submarket Analysis

The Dallas Senior Housing market has experienced absorption of 2700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Investor demand for Senior Housing assets in Dallas remains strong with recent trades at capitalization rates between 5.97% and 5.97%. Rent growth in the submarket has averaged 6.9% annually over the past 6 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Ridgeline Manor is located in Dallas, TX, a market that has recorded 3.6% population growth over the last five years.

Median household income within a 8-mile radius of the property is approximately $37,000 and has grown 2.2% annually. The community provides assisted living and memory care services under a state-issued license with 35 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 3.6% annually over the past 6 years. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Topography and Flood Zone

Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Access to the site is provided by 10 curb cuts and the property is served by municipal water and sanitary sewer. The site contains approximately 36.36 acres and is generally level with frontage along Airport Drive.

Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. The site contains approximately 45.45 acres and is generally level with frontage along Airport Drive. Access to the site is provided by 46 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

Supply and Demand

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Construction Details

Dining, housekeeping, transportation and activities programming are included in the base fee. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 10 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 10-year membrane system with an estimated remaining useful life of 12 years.

Occupancy stands at 90.4% with an average resident length of stay of 8 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Improvements Description

Dining, housekeeping, transportation and activities programming are included in the base fee. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Occupancy stands at 88.1% with an average resident length of stay of 4 years. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 13 full-time caregivers per shift.

The community provides assisted living and memory care services under a state-issued license with 42 full-time caregivers per shift. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 11 years and are in average to good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Construction Details

Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Occupancy stands at 95.5% with an average resident length of stay of 5 years. Dining, housekeeping, transportation and activities programming are included in the base fee.

Common area interiors have been refreshed within the last 7 years and are in average to good condition. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 40 full-time caregivers per shift. Ridgeline Manor was originally constructed in 1962 and consists of 64 units in a building of 30 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Union Assisted Living	San Antonio, TX	10/14/2022	87	$13,107,171	$204,800	5.45%	1982
Pinecrest Gardens	Kansas City, MO	03/26/2023	95	$9,811,336	$153,302	5.42%	2007
Northgate Gardens	Richmond, VA	10/31/2024	78	$6,337,599	$99,025	5.24%	2014
Bayview Senior Living	Nashville, TN	04/06/2023	61	$4,191,351	$65,490	5.43%	2019
Windmill Senior Living	Naperville, IL	02/17/2023	71	$13,987,091	$218,548	5.09%	1992
Cedar Manor	Omaha, NE	10/12/2022	48	$5,455,913	$85,249	7.58%	1973
Redwood Manor	Houston, TX	05/04/2025	52	$13,243,853	$206,935	5.47%	1982
Magnolia Gardens	Aurora, CO	01/14/2023	71	$4,943,672	$77,245	5.73%	1994
Driftwood Gardens	Oklahoma City, OK	12/19/2023	36	$7,669,229	$119,832	6.58%	1992
Aspen Gardens	Pittsburgh, PA	09/27/2023	60	$13,461,925	$210,343	5.86%	2012
Parkview Manor	Seattle, WA	06/20/2023	44	$8,306,648	$129,791	7.41%	2017
Garnet Senior Living	Tempe, AZ	07/24/2024	77	$6,995,035	$109,297	7.60%	1973
Elmhurst Manor	Pittsburgh, PA	11/27/2025	57	$4,645,520	$72,586	8.05%	1989
Lockwood Gardens	Riverside, CA	02/10/2022	50	$5,310,299	$82,973	7.95%	1973
Summit Gardens	Naperville, IL	08/27/2022	91	$12,030,008	$187,969	5.65%	2014
Thornton Manor	Denver, CO	09/24/2022	39	$5,559,343	$86,865	8.19%	1980
Crestline Senior Living	St. Louis, MO	01/01/2025	91	$11,570,755	$180,793	7.75%	1981
Fairmont Assisted Living	New Orleans, LA	09/19/2022	86	$9,479,277	$148,114	7.28%	1970
Falcon Gardens	Grand Rapids, MI	04/26/2026	49	$13,895,646	$217,119	7.11%	2011
Sterling Gardens	Pittsburgh, PA	06/08/2024	73	$7,491,402	$117,053	7.07%	1999
Driftwood Senior Living	Dallas, TX	09/07/2024	94	$4,920,339	$76,880	6.95%	2009
Valley Assisted Living	Kansas City, MO	11/04/2024	73	$12,569,834	$196,404	5.10%	2002
Windmill Gardens	Newark, NJ	02/08/2026	43	$14,311,691	$223,620	5.15%	2011
Banyan Manor	New Orleans, LA	04/22/2025	67	$10,216,812	$159,638	7.33%	2018
Harbor Gardens	Greenville, SC	09/20/2023	69	$9,254,500	$144,602	6.52%	2023
Upland Senior Living	Cincinnati, OH	12/20/2025	50	$11,752,402	$183,631	6.46%	1982
Upland Gardens	Minneapolis, MN	04/21/2024	92	$8,325,161	$130,081	7.67%	1992
Stonebridge Assisted Livin	Detroit, MI	01/14/2024	54	$13,171,921	$205,811	7.77%	1979
Jasper Assisted Living	Austin, TX	10/26/2024	76	$5,428,166	$84,815	6.33%	1978
Parkview Assisted Living	Sacramento, CA	03/03/2024	41	$10,901,995	$170,344	6.82%	1966
Vista Manor	Aurora, CO	10/14/2023	68	$13,845,593	$216,337	5.11%	1994
Cobalt Manor	San Diego, CA	05/26/2023	71	$7,457,224	$116,519	6.58%	1979
Quarry Assisted Living	Baltimore, MD	05/13/2022	43	$7,849,759	$122,652	7.06%	2013
Parkview Gardens	Phoenix, AZ	05/28/2026	40	$4,322,533	$67,540	5.89%	1985
Saddlebrook Senior Living	Birmingham, AL	05/22/2023	56	$11,362,556	$177,540	7.73%	2023
Cedar Manor	Baltimore, MD	08/15/2026	90	$4,525,785	$70,715	6.08%	2014
Ridgeline Senior Living	Riverside, CA	03/06/2023	95	$5,457,194	$85,269	8.00%	1984
Ironwood Assisted Living	Richmond, VA	01/02/2024	64	$10,952,097	$171,127	5.01%	2004
Verde Senior Living	Pittsburgh, PA	02/11/2025	88	$5,961,909	$93,155	5.89%	1991
Sable Assisted Living	Sacramento, CA	06/24/2023	86	$7,597,137	$118,705	7.51%	1966
Saddlebrook Senior Living	Detroit, MI	01/02/2022	39	$13,260,686	$207,198	6.58%	1995
Lakeshore Manor	Tempe, AZ	03/10/2025	49	$13,950,191	$217,972	5.73%	1977

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Operating Performance

Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee. Debt service coverage ratio was 6.73x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $296,000 or approximately 28.30 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $15,000, representing a 6.2% increase over the prior year.

Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Operating expenses totaled $279,000 or approximately 14.12 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.16x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Income and Expense Review

Operating expenses totaled $356,000 or approximately 19.91 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.82x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.83% reflects the in-place income and the stabilized occupancy assumption. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Occupancy stands at 88.6% with an average resident length of stay of 10 years.

Debt service coverage ratio was 6.71x on a trailing basis against a covenant minimum of 1.20x. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The going-in capitalization rate of 8.11% reflects the in-place income and the stabilized occupancy assumption. Dining, housekeeping, transportation and activities programming are included in the base fee. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses.

Operating Performance

The community provides assisted living and memory care services under a state-issued license with 47 full-time caregivers per shift. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Occupancy stands at 96.1% with an average resident length of stay of 5 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Effective gross income for the trailing period was $122,000, representing a 13.3% increase over the prior year.

Dining, housekeeping, transportation and activities programming are included in the base fee. The community provides assisted living and memory care services under a state-issued license with 45 full-time caregivers per shift. Effective gross income for the trailing period was $83,000, representing a 3.9% increase over the prior year. Debt service coverage ratio was 5.14x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Harbor Assisted Living	4.1 mi	1983	1BR	$8,113.99	92.4%	None
Magnolia Senior Living	4.9 mi	2002	Suite	$8,316.30	87.1%	1 mo. free
Thornton Gardens	1.3 mi	2008	Suite	$7,394.39	88.2%	1 mo. free
Brookside Gardens	3.0 mi	1981	2BR	$7,367.78	92.5%	1 mo. free
Alder Gardens	2.3 mi	1989	Bay	$6,166.10	87.7%	None
Hollis Manor	1.1 mi	2003	2BR	$8,034.80	91.8%	None
Westgate Senior Living	2.7 mi	1987	Studio	$7,823.88	88.9%	None
Zephyr Manor	1.4 mi	2011	Studio	$7,317.43	92.3%	1 mo. free
Marlow Assisted Living	2.7 mi	1972	Suite	$6,762.12	93.9%	1 mo. free
Falcon Manor	3.4 mi	2009	Bay	$6,844.80	88.7%	$500
Vista Gardens	0.6 mi	1991	Studio	$7,917.62	89.2%	None
Northgate Gardens	4.2 mi	1999	Unit	$8,448.69	94.6%	None
Ivy Senior Living	2.0 mi	1977	Inline	$6,837.07	87.1%	$500
Oakmont Assisted Living	3.1 mi	2021	2BR	$6,266.00	95.6%	None
Sable Gardens	0.5 mi	2011	Unit	$6,909.75	96.5%	None
Pinecrest Gardens	0.7 mi	1980	Inline	$7,761.31	89.1%	1 mo. free
Riverbend Assisted Living	1.5 mi	2022	Unit	$6,785.02	91.7%	$500
Eastlake Gardens	2.4 mi	2021	1BR	$7,379.48	97.3%	None
Granite Senior Living	1.9 mi	1977	Suite	$8,131.30	95.4%	$500
Juniper Manor	0.5 mi	1991	Unit	$6,295.64	87.2%	$500
Beacon Manor	0.8 mi	2009	2BR	$8,561.96	91.2%	$500
Redwood Assisted Living	3.1 mi	1970	Studio	$8,120.01	88.4%	$500
Pinecrest Manor	1.3 mi	1978	Unit	$7,262.36	88.0%	None
Pelican Gardens	2.9 mi	1989	Unit	$7,872.14	93.5%	1 mo. free
Prairie Manor	1.7 mi	2010	Inline	$6,494.76	97.5%	1 mo. free
Magnolia Gardens	4.3 mi	2003	2BR	$7,563.69	94.6%	None
Cypress Gardens	4.4 mi	1980	1BR	$6,340.70	88.8%	None
Jasper Gardens	0.9 mi	1979	Studio	$7,759.35	95.3%	$500
Timberline Senior Living	4.5 mi	1971	Studio	$7,965.71	97.5%	$500
Kestrel Senior Living	3.6 mi	1990	Studio	$6,560.93	94.9%	$500
Laurel Gardens	4.3 mi	1984	Studio	$6,752.87	91.3%	1 mo. free
Hollis Senior Living	2.7 mi	1977	Bay	$6,687.67	91.8%	None
Zephyr Gardens	4.1 mi	2022	2BR	$7,081.42	90.3%	$500
Nautilus Senior Living	1.0 mi	1975	1BR	$7,274.00	89.5%	None
Kingsley Assisted Living	0.3 mi	1995	Unit	$6,435.04	90.3%	$500
Riverbend Manor	4.2 mi	2008	1BR	$8,321.68	97.1%	1 mo. free
Westgate Senior Living	4.6 mi	1991	Unit	$8,497.25	97.7%	None
Onyx Senior Living	2.5 mi	2020	Bay	$7,475.28	92.7%	1 mo. free
Cypress Senior Living	1.8 mi	1971	Unit	$8,215.64	92.1%	1 mo. free
Riverbend Manor	4.0 mi	1970	Inline	$7,605.34	94.7%	1 mo. free
Ironwood Senior Living	0.8 mi	1996	Bay	$8,307.71	95.0%	$500
Falcon Gardens	2.8 mi	2008	Studio	$6,339.32	87.7%	None
Sable Senior Living	1.4 mi	2002	Suite	$7,156.92	93.0%	None

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Demographics and Employment

Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Ridgeline Manor is located in Dallas, TX, a market that has recorded 7.3% population growth over the last five years. Rent growth in the submarket has averaged 7.5% annually over the past 11 years.

Rent growth in the submarket has averaged 6.8% annually over the past 4 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The Dallas Senior Housing market has experienced absorption of 3800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Occupancy stands at 93.3% with an average resident length of stay of 10 years. Dining, housekeeping, transportation and activities programming are included in the base fee.

Access and Utilities

The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 21.21 acres and is generally level with frontage along Airport Drive. Surrounding land uses include residential, commercial and light industrial properties of similar vintage.

The site contains approximately 4.4 acres and is generally level with frontage along Airport Drive. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. Utilities, including electric, natural gas and telecommunications, are available to the site from the street.

Demographics and Employment

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Market vacancy for comparable Senior Housing product stands at 4.4%, down from 5.5% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 5.0% annually over the past 8 years. Occupancy stands at 89.8% with an average resident length of stay of 11 years. Dining, housekeeping, transportation and activities programming are included in the base fee.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Market vacancy for comparable Senior Housing product stands at 4.9%, down from 7.6% two years ago. Median household income within a 1-mile radius of the property is approximately $387,000 and has grown 9.3% annually.

Site Description

Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site contains approximately 34.34 acres and is generally level with frontage along Airport Drive. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Access to the site is provided by 31 curb cuts and the property is served by municipal water and sanitary sewer. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection.

Access to the site is provided by 47 curb cuts and the property is served by municipal water and sanitary sewer. Soils are typical of the region and no evidence of unsuitable conditions was observed at the time of inspection. The site contains approximately 15.15 acres and is generally level with frontage along Airport Drive. Utilities, including electric, natural gas and telecommunications, are available to the site from the street. Surrounding land uses include residential, commercial and light industrial properties of similar vintage. The site is not located within a designated 100-year floodplain according to the FEMA flood map in effect.

Submarket Analysis

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Certification

I certify that, to the best of my knowledge and belief, the statements of fact contained in this report are true and correct and that I have no present or prospective interest in Ridgeline Manor and no personal interest with respect to the parties involved.

The analyses, opinions and conclusions are limited only by the reported assumptions and limiting conditions. The inspection of the property was performed on September 9, 2023.

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Samuel Ramirez, CPG

Stone & Marsh Appraisal

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